

Multistate Motor Fuels Exemption Compliance Assessments Across Texas, Illinois, and Oklahoma

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If we ask Fuel marketers in Texas refineries, Illinois distribution, and Oklahoma retail where they see most assessments come from, they will probably point to documentation gaps for exemptions. In Texas, Form 01-339 has become one of the major concerns for Comptroller audits. The current memo has touched on discussions about the top three exemptions.

The Hidden Assessment

For State-level audit procedures, the verification of documentary compliance takes the front seat over statistical analysis of operational performance metrics. Specifically, the primary focus of these audits has been detection of missing or incomplete official certifications, relative to the independent calculation of rates. This depicts a compliance-based auditing approach, where the presence of required documentation serves as the key indicator of regulatory adherence.

For instance, In Texas, a single government sale without a Form 01-339 means full-period assessments. In Illinois, farm claims fail due to GPS records showing on-road miles. In Oklahoma, exports fail without a Form 51-230, even with perfect manifests.

Looking at this pattern, we could perhaps say exemption documentation consistently ranks as a key factor across state motor fuels audit manuals.

The Multistate Exemptions Matrix

Exemption	Texas (Ch. 153)	Illinois	Oklahoma	Audit Risk
Government	Form 01-339 <i>mandatory</i> for every gallon (§153.212). No exceptions.	Govt exempt. RUT-25 optional but recommended.	Form 51-120 required (§68-1403).	TX: Missing 01-339
Agriculture	Off-road farm/ranch exempt (§153.212(b)). Dyed diesel only – no form.	Schedule AGR required. Farm machinery only.	Form 513-C for off-road (§68-1405).	IL: GPS on-road logs
Export	Export permit required (§153.205). Two-party exchange OK w/ docs.	Form ST-587 mandatory.	Form 51-230. Terminal transfers safe.	TX: Terminal position

1: Texas Certification

Texas requires a valid Form 01-339 for every single gallon sold to government entities — this includes cities, counties, school districts, and state agencies. While it's certainly important to establish that a business relationship exists, the state won't accept "the relationship defense" alone as proof. Two-party exchange documentation can sometimes serve as a substitute, but this questions whether we have that paperwork on file.

2: Illinois GPS

Illinois farm exemptions cover machinery and irrigation only. Schedule AGR is required with return. Auditors often pull GPS telematics from fleet clients, meaning a single on-road hay haul can be enough to challenge the entire claim.

3: Oklahoma Paper Trail

Unlike Texas's physical position rules, Oklahoma follows documentation. Terminal transfers qualify as exports with Form 51-230.

At the onset, multistate fuel marketers are subject to audit risk — not because there is lack of understanding of the rules, but because exemption certificates are treated as an afterthought. This also raises questions at the core of problems: Most fuel marketers have excellent ERP systems tracking every gallon yet why do they fail in having meticulous and dedicated processes for matching those sales to valid certificates?

This isn't entirely a tax issue; it could be a data matching problem. Are we losing cashflows because exemption certificates don't line up with our sales?